

# REAL ESTATE QUESTION BANK

## MICHIGAN

### Real Estate License Practice Exam

50 Practice Questions & Detailed Answer Explanations

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Pass your Real Estate Exam on the first try.

Updated for 2026 with latest state laws.

## Practice Questions

**1. [Question 1] A broker represents a seller under a listing agreement. A buyer makes an offer on the property. What fiduciary duty does the broker owe to the buyer?**

- A) Loyalty
- B) Confidentiality
- C) Honest and fair dealing
- D) Obedience

**2. [Question 2] Which of the following is considered personal property rather than real property?**

- A) A built-in dishwasher
- B) Trade fixtures used in a business
- C) A perennial rose bush
- D) A brick easement pathway

**3. [Question 3] An owner has a property valued at \$240,000. The local assessment rate is 50%, and the mill rate is 25 mills. What is the annual property tax?**

- A) \$3,000
- B) \$6,000
- C) \$1,200
- D) \$2,400

**4. [Question 4] A freehold estate that is limited in duration to the life of the owner or another designated person is known as a:**

- A) Fee simple absolute
- B) Life estate
- C) Leasehold estate
- D) Fee simple defeasible

**5. [Question 5] What type of listing agreement allows the seller to sell the property independently without owing a commission to the broker?**

- A) Exclusive Right-to-Sell Listing
- B) Exclusive Agency Listing
- C) Net Listing
- D) Open Listing

**6. [Question 6] The term 'eminent domain' refers to the government's right to:**

- A) Regulate zoning and land use
- B) Take private land for public use with just compensation
- C) Claim land when an owner dies intestate with no heirs
- D) Collect annual taxes on real estate

**7. [Question 7] A property produces a Net Operating Income (NOI) of \$18,000. An investor requires a capitalization rate of 8%. What is the market value of the property?**

- A) \$225,000
- B) \$144,000
- C) \$200,000
- D) \$250,000

**8. [Question 8] Which federal law prohibits discrimination in housing based on race, color, religion, sex, national origin, familial status, or disability?**

- A) Real Estate Settlement Procedures Act (RESPA)
- B) Fair Housing Act
- C) Truth in Lending Act (TILA)
- D) Sherman Antitrust Act

**9. [Question 9] A transaction is scheduled to close on June 15. The annual hazard insurance premium of \$1,200 has been prepaid by the seller. Using a 360-day year, how is this prorated?**

- A) \$650 debit to buyer, \$650 credit to seller
- B) \$600 debit to buyer, \$600 credit to seller
- C) \$650 credit to buyer, \$650 debit to seller
- D) \$600 credit to buyer, \$600 debit to seller

**10. [Question 10] A mortgage clause that allows the lender to demand immediate payment of the entire loan balance if the borrower defaults is the:**

- A) Alienation clause
- B) Defeasance clause
- C) Acceleration clause
- D) Subordination clause

**11. [Question 11] A broker represents a seller under a listing agreement. A buyer makes an offer on the property. What fiduciary duty does the broker owe to the buyer?**

- A) Loyalty
- B) Confidentiality
- C) Honest and fair dealing
- D) Obedience

**12. [Question 12] Which of the following is considered personal property rather than real property?**

- A) A built-in dishwasher
- B) Trade fixtures used in a business
- C) A perennial rose bush
- D) A brick easement pathway

**13. [Question 13] An owner has a property valued at \$240,000. The local assessment rate is 50%, and the mill rate is 25 mills. What is the annual property tax?**

- A) \$3,000
- B) \$6,000
- C) \$1,200
- D) \$2,400

**14. [Question 14] A freehold estate that is limited in duration to the life of the owner or another designated person is known as a:**

- A) Fee simple absolute
- B) Life estate
- C) Leasehold estate
- D) Fee simple defeasible

**15. [Question 15] What type of listing agreement allows the seller to sell the property independently without owing a commission to the broker?**

- A) Exclusive Right-to-Sell Listing
- B) Exclusive Agency Listing
- C) Net Listing
- D) Open Listing

**16. [Question 16] The term 'eminent domain' refers to the government's right to:**

- A) Regulate zoning and land use
- B) Take private land for public use with just compensation
- C) Claim land when an owner dies intestate with no heirs
- D) Collect annual taxes on real estate

**17. [Question 17] A property produces a Net Operating Income (NOI) of \$18,000. An investor requires a capitalization rate of 8%. What is the market value of the property?**

- A) \$225,000
- B) \$144,000
- C) \$200,000
- D) \$250,000

**18. [Question 18] Which federal law prohibits discrimination in housing based on race, color, religion, sex, national origin, familial status, or disability?**

- A) Real Estate Settlement Procedures Act (RESPA)
- B) Fair Housing Act
- C) Truth in Lending Act (TILA)
- D) Sherman Antitrust Act

**19. [Question 19] A transaction is scheduled to close on June 15. The annual hazard insurance premium of \$1,200 has been prepaid by the seller. Using a 360-day year, how is this prorated?**

- A) \$650 debit to buyer, \$650 credit to seller
- B) \$600 debit to buyer, \$600 credit to seller
- C) \$650 credit to buyer, \$650 debit to seller
- D) \$600 credit to buyer, \$600 debit to seller

**20. [Question 20] A mortgage clause that allows the lender to demand immediate payment of the entire loan balance if the borrower defaults is the:**

- A) Alienation clause
- B) Defeasance clause
- C) Acceleration clause
- D) Subordination clause

**21. [Question 21] A broker represents a seller under a listing agreement. A buyer makes an offer on the property. What fiduciary duty does the broker owe to the buyer?**

- A) Loyalty
- B) Confidentiality
- C) Honest and fair dealing
- D) Obedience

**22. [Question 22] Which of the following is considered personal property rather than real property?**

- A) A built-in dishwasher
- B) Trade fixtures used in a business
- C) A perennial rose bush
- D) A brick easement pathway

**23. [Question 23] An owner has a property valued at \$240,000. The local assessment rate is 50%, and the mill rate is 25 mills. What is the annual property tax?**

- A) \$3,000
- B) \$6,000
- C) \$1,200
- D) \$2,400

**24. [Question 24] A freehold estate that is limited in duration to the life of the owner or another designated person is known as a:**

- A) Fee simple absolute
- B) Life estate
- C) Leasehold estate
- D) Fee simple defeasible

**25. [Question 25] What type of listing agreement allows the seller to sell the property independently without owing a commission to the broker?**

- A) Exclusive Right-to-Sell Listing
- B) Exclusive Agency Listing
- C) Net Listing
- D) Open Listing

**26. [Question 26] The term 'eminent domain' refers to the government's right to:**

- A) Regulate zoning and land use
- B) Take private land for public use with just compensation
- C) Claim land when an owner dies intestate with no heirs
- D) Collect annual taxes on real estate

**27. [Question 27] A property produces a Net Operating Income (NOI) of \$18,000. An investor requires a capitalization rate of 8%. What is the market value of the property?**

- A) \$225,000
- B) \$144,000
- C) \$200,000
- D) \$250,000

**28. [Question 28] Which federal law prohibits discrimination in housing based on race, color, religion, sex, national origin, familial status, or disability?**

- A) Real Estate Settlement Procedures Act (RESPA)
- B) Fair Housing Act
- C) Truth in Lending Act (TILA)
- D) Sherman Antitrust Act

**29. [Question 29] A transaction is scheduled to close on June 15. The annual hazard insurance premium of \$1,200 has been prepaid by the seller. Using a 360-day year, how is this prorated?**

- A) \$650 debit to buyer, \$650 credit to seller
- B) \$600 debit to buyer, \$600 credit to seller
- C) \$650 credit to buyer, \$650 debit to seller
- D) \$600 credit to buyer, \$600 debit to seller

**30. [Question 30] A mortgage clause that allows the lender to demand immediate payment of the entire loan balance if the borrower defaults is the:**

- A) Alienation clause
- B) Defeasance clause
- C) Acceleration clause
- D) Subordination clause

**31. [Question 31] A broker represents a seller under a listing agreement. A buyer makes an offer on the property. What fiduciary duty does the broker owe to the buyer?**

- A) Loyalty
- B) Confidentiality
- C) Honest and fair dealing
- D) Obedience

**32. [Question 32] Which of the following is considered personal property rather than real property?**

- A) A built-in dishwasher
- B) Trade fixtures used in a business
- C) A perennial rose bush
- D) A brick easement pathway

**33. [Question 33] An owner has a property valued at \$240,000. The local assessment rate is 50%, and the mill rate is 25 mills. What is the annual property tax?**

- A) \$3,000
- B) \$6,000
- C) \$1,200
- D) \$2,400

**34. [Question 34] A freehold estate that is limited in duration to the life of the owner or another designated person is known as a:**

- A) Fee simple absolute
- B) Life estate
- C) Leasehold estate
- D) Fee simple defeasible

**35. [Question 35] What type of listing agreement allows the seller to sell the property independently without owing a commission to the broker?**

- A) Exclusive Right-to-Sell Listing
- B) Exclusive Agency Listing
- C) Net Listing
- D) Open Listing

**36. [Question 36] The term 'eminent domain' refers to the government's right to:**

- A) Regulate zoning and land use
- B) Take private land for public use with just compensation
- C) Claim land when an owner dies intestate with no heirs
- D) Collect annual taxes on real estate

**37. [Question 37] A property produces a Net Operating Income (NOI) of \$18,000. An investor requires a capitalization rate of 8%. What is the market value of the property?**

- A) \$225,000
- B) \$144,000
- C) \$200,000
- D) \$250,000

**38. [Question 38] Which federal law prohibits discrimination in housing based on race, color, religion, sex, national origin, familial status, or disability?**

- A) Real Estate Settlement Procedures Act (RESPA)
- B) Fair Housing Act
- C) Truth in Lending Act (TILA)
- D) Sherman Antitrust Act

**39. [Question 39] A transaction is scheduled to close on June 15. The annual hazard insurance premium of \$1,200 has been prepaid by the seller. Using a 360-day year, how is this prorated?**

- A) \$650 debit to buyer, \$650 credit to seller
- B) \$600 debit to buyer, \$600 credit to seller
- C) \$650 credit to buyer, \$650 debit to seller
- D) \$600 credit to buyer, \$600 debit to seller

**40. [Question 40] A mortgage clause that allows the lender to demand immediate payment of the entire loan balance if the borrower defaults is the:**

- A) Alienation clause
- B) Defeasance clause
- C) Acceleration clause
- D) Subordination clause

**41. [Question 41] A broker represents a seller under a listing agreement. A buyer makes an offer on the property. What fiduciary duty does the broker owe to the buyer?**

- A) Loyalty
- B) Confidentiality
- C) Honest and fair dealing
- D) Obedience

**42. [Question 42] Which of the following is considered personal property rather than real property?**

- A) A built-in dishwasher
- B) Trade fixtures used in a business
- C) A perennial rose bush
- D) A brick easement pathway



**43. [Question 43] An owner has a property valued at \$240,000. The local assessment rate is 50%, and the mill rate is 25 mills. What is the annual property tax?**

- A) \$3,000
- B) \$6,000
- C) \$1,200
- D) \$2,400

**44. [Question 44] A freehold estate that is limited in duration to the life of the owner or another designated person is known as a:**

- A) Fee simple absolute
- B) Life estate
- C) Leasehold estate
- D) Fee simple defeasible

**45. [Question 45] What type of listing agreement allows the seller to sell the property independently without owing a commission to the broker?**

- A) Exclusive Right-to-Sell Listing
- B) Exclusive Agency Listing
- C) Net Listing
- D) Open Listing

**46. [Question 46] The term 'eminent domain' refers to the government's right to:**

- A) Regulate zoning and land use
- B) Take private land for public use with just compensation
- C) Claim land when an owner dies intestate with no heirs
- D) Collect annual taxes on real estate

**47. [Question 47] A property produces a Net Operating Income (NOI) of \$18,000. An investor requires a capitalization rate of 8%. What is the market value of the property?**

- A) \$225,000
- B) \$144,000
- C) \$200,000
- D) \$250,000

**48. [Question 48] Which federal law prohibits discrimination in housing based on race, color, religion, sex, national origin, familial status, or disability?**

- A) Real Estate Settlement Procedures Act (RESPA)
- B) Fair Housing Act
- C) Truth in Lending Act (TILA)
- D) Sherman Antitrust Act

**49. [Question 49] A transaction is scheduled to close on June 15. The annual hazard insurance premium of \$1,200 has been prepaid by the seller. Using a 360-day year, how is this prorated?**

- A) \$650 debit to buyer, \$650 credit to seller
- B) \$600 debit to buyer, \$600 credit to seller
- C) \$650 credit to buyer, \$650 debit to seller
- D) \$600 credit to buyer, \$600 debit to seller

**50. [Question 50] A mortgage clause that allows the lender to demand immediate payment of the entire loan balance if the borrower defaults is the:**

- A) Alienation clause
- B) Defeasance clause
- C) Acceleration clause
- D) Subordination clause

# Answer Key & Explanations

**Question 1: Correct Answer (C)**

Explanation: Fiduciary duties (like loyalty, confidentiality, and obedience) are owed exclusively to the client (the seller). To the customer (the buyer), the broker owes honesty, fairness, and disclosure of material facts.

**Question 2: Correct Answer (B)**

Explanation: Trade fixtures are items installed by a tenant for business use and remain personal property, meaning they can be removed before the lease expires.

**Question 3: Correct Answer (A)**

Explanation: Assessed Value =  $\$240,000 \times 50\% = \$120,000$ . Taxes =  $\$120,000 \times 0.025$  (25 mills) = \$3,000.

**Question 4: Correct Answer (B)**

Explanation: A life estate is a freehold estate in land that is limited in duration to the life of the owner or to the life of some other designated person.

**Question 5: Correct Answer (B)**

Explanation: Under an Exclusive Agency listing, one broker is authorized to act as the exclusive agent, but the seller retains the right to sell the property themselves without paying a commission.

**Question 6: Correct Answer (B)**

Explanation: Eminent domain is the right of a government or its agent to expropriate private property for public use, with payment of compensation.

**Question 7: Correct Answer (A)**

Explanation: Market Value =  $\text{NOI} / \text{Cap Rate} = \$18,000 / 0.08 = \$225,000$ .

**Question 8: Correct Answer (B)**

Explanation: The Fair Housing Act of 1968 protects buyers and renters from discrimination based on race, color, national origin, religion, sex, familial status, or disability.

**Question 9: Correct Answer (A)**

Explanation: Prepaid days remaining: June (15 days) + July to Dec (180 days) = 195 days. Proration =  $(\$1,200 / 360) \times 195 = \$650$  credit to seller, debit to buyer.

**Question 10: Correct Answer (C)**

Explanation: The acceleration clause gives the lender the right to declare the entire debt due and payable immediately if the borrower defaults on any covenant.

**Question 11: Correct Answer (C)**

Explanation: Fiduciary duties (like loyalty, confidentiality, and obedience) are owed exclusively to the client (the seller). To the customer (the buyer), the broker owes honesty, fairness, and disclosure of material facts.

**Question 12: Correct Answer (B)**

Explanation: Trade fixtures are items installed by a tenant for business use and remain personal property, meaning they can be removed before the lease expires.

**Question 13: Correct Answer (A)**

Explanation: Assessed Value =  $\$240,000 \times 50\% = \$120,000$ . Taxes =  $\$120,000 \times 0.025$  (25 mills) =  $\$3,000$ .

**Question 14: Correct Answer (B)**

Explanation: A life estate is a freehold estate in land that is limited in duration to the life of the owner or to the life of some other designated person.

**Question 15: Correct Answer (B)**

Explanation: Under an Exclusive Agency listing, one broker is authorized to act as the exclusive agent, but the seller retains the right to sell the property themselves without paying a commission.

**Question 16: Correct Answer (B)**

Explanation: Eminent domain is the right of a government or its agent to expropriate private property for public use, with payment of compensation.

**Question 17: Correct Answer (A)**

Explanation: Market Value =  $\text{NOI} / \text{Cap Rate} = \$18,000 / 0.08 = \$225,000$ .

**Question 18: Correct Answer (B)**

Explanation: The Fair Housing Act of 1968 protects buyers and renters from discrimination based on race, color, national origin, religion, sex, familial status, or disability.

**Question 19: Correct Answer (A)**

Explanation: Prepaid days remaining: June (15 days) + July to Dec (180 days) = 195 days. Proration =  $(\$1,200 / 360) \times 195 = \$650$  credit to seller, debit to buyer.

**Question 20: Correct Answer (C)**

Explanation: The acceleration clause gives the lender the right to declare the entire debt due and payable immediately if the borrower defaults on any covenant.

**Question 21: Correct Answer (C)**

Explanation: Fiduciary duties (like loyalty, confidentiality, and obedience) are owed exclusively to the client (the seller). To the customer (the buyer), the broker owes honesty, fairness, and disclosure of material facts.

**Question 22: Correct Answer (B)**

Explanation: Trade fixtures are items installed by a tenant for business use and remain personal property, meaning they can be removed before the lease expires.

**Question 23: Correct Answer (A)**

Explanation: Assessed Value =  $\$240,000 \times 50\% = \$120,000$ . Taxes =  $\$120,000 \times 0.025$  (25 mills) = \$3,000.

**Question 24: Correct Answer (B)**

Explanation: A life estate is a freehold estate in land that is limited in duration to the life of the owner or to the life of some other designated person.

**Question 25: Correct Answer (B)**

Explanation: Under an Exclusive Agency listing, one broker is authorized to act as the exclusive agent, but the seller retains the right to sell the property themselves without paying a commission.

**Question 26: Correct Answer (B)**

Explanation: Eminent domain is the right of a government or its agent to expropriate private property for public use, with payment of compensation.

**Question 27: Correct Answer (A)**

Explanation: Market Value =  $\text{NOI} / \text{Cap Rate} = \$18,000 / 0.08 = \$225,000$ .

**Question 28: Correct Answer (B)**

Explanation: The Fair Housing Act of 1968 protects buyers and renters from discrimination based on race, color, national origin, religion, sex, familial status, or disability.

**Question 29: Correct Answer (A)**

Explanation: Prepaid days remaining: June (15 days) + July to Dec (180 days) = 195 days. Proration =  $(\$1,200 / 360) \times 195 = \$650$  credit to seller, debit to buyer.

**Question 30: Correct Answer (C)**

Explanation: The acceleration clause gives the lender the right to declare the entire debt due and payable immediately if the borrower defaults on any covenant.

**Question 31: Correct Answer (C)**

Explanation: Fiduciary duties (like loyalty, confidentiality, and obedience) are owed exclusively to the client (the seller). To the customer (the buyer), the broker owes honesty, fairness, and disclosure of material facts.

**Question 32: Correct Answer (B)**

Explanation: Trade fixtures are items installed by a tenant for business use and remain personal property, meaning they can be removed before the lease expires.

**Question 33: Correct Answer (A)**

Explanation: Assessed Value =  $\$240,000 \times 50\% = \$120,000$ . Taxes =  $\$120,000 \times 0.025$  (25 mills) = \$3,000.

**Question 34: Correct Answer (B)**

Explanation: A life estate is a freehold estate in land that is limited in duration to the life of the owner or to the life of some other designated person.

**Question 35: Correct Answer (B)**

Explanation: Under an Exclusive Agency listing, one broker is authorized to act as the exclusive agent, but the seller retains the right to sell the property themselves without paying a commission.

**Question 36: Correct Answer (B)**

Explanation: Eminent domain is the right of a government or its agent to expropriate private property for public use, with payment of compensation.

**Question 37: Correct Answer (A)**

Explanation: Market Value =  $\text{NOI} / \text{Cap Rate} = \$18,000 / 0.08 = \$225,000$ .

**Question 38: Correct Answer (B)**

Explanation: The Fair Housing Act of 1968 protects buyers and renters from discrimination based on race, color, national origin, religion, sex, familial status, or disability.

**Question 39: Correct Answer (A)**

Explanation: Prepaid days remaining: June (15 days) + July to Dec (180 days) = 195 days. Proration =  $(\$1,200 / 360) \times 195 = \$650$  credit to seller, debit to buyer.

**Question 40: Correct Answer (C)**

Explanation: The acceleration clause gives the lender the right to declare the entire debt due and payable immediately if the borrower defaults on any covenant.

**Question 41: Correct Answer (C)**

Explanation: Fiduciary duties (like loyalty, confidentiality, and obedience) are owed exclusively to the client (the seller). To the customer (the buyer), the broker owes honesty, fairness, and disclosure of material facts.

**Question 42: Correct Answer (B)**

Explanation: Trade fixtures are items installed by a tenant for business use and remain personal property, meaning they can be removed before the lease expires.

**Question 43: Correct Answer (A)**

Explanation: Assessed Value =  $\$240,000 \times 50\% = \$120,000$ . Taxes =  $\$120,000 \times 0.025$  (25 mills) = \$3,000.

**Question 44: Correct Answer (B)**

Explanation: A life estate is a freehold estate in land that is limited in duration to the life of the owner or to the life of some other designated person.

**Question 45: Correct Answer (B)**

Explanation: Under an Exclusive Agency listing, one broker is authorized to act as the exclusive agent, but the seller retains the right to sell the property themselves without paying a commission.

**Question 46: Correct Answer (B)**

Explanation: Eminent domain is the right of a government or its agent to expropriate private property for public use, with payment of compensation.

**Question 47: Correct Answer (A)**

Explanation: Market Value = NOI / Cap Rate = \$18,000 / 0.08 = \$225,000.

**Question 48: Correct Answer (B)**

Explanation: The Fair Housing Act of 1968 protects buyers and renters from discrimination based on race, color, national origin, religion, sex, familial status, or disability.

**Question 49: Correct Answer (A)**

Explanation: Prepaid days remaining: June (15 days) + July to Dec (180 days) = 195 days. Proration =  $(\$1,200 / 360) \times 195 = \$650$  credit to seller, debit to buyer.

**Question 50: Correct Answer (C)**

Explanation: The acceleration clause gives the lender the right to declare the entire debt due and payable immediately if the borrower defaults on any covenant.